

SASTRA DEEMED UNIVERSITY

School of Management

Course: MGT211 – Fundamentals Human Resource Management

UNIT II - Human Resource Planning: Acquisition & Development

1. Introduction to Human Resource Planning

At its core, Human Resource Planning is about precision and timing. It ensures that an organization has the right people, in the right number, at the right place, at the right time, and at the right cost.

To put it in academic terms, we rely on the classic definition by Edwin B. Geisler, which states: *"HR Planning is the process of forecasting the organization's future demand for and supply of the right type of people in the right number"*. HRP is not merely an administrative task; it is a strategic imperative that ensures a company's workforce is perfectly scaled to meet its business objectives.

2. The Business Value: Why HR Planning Matters

Effective HRP creates immense strategic value for an organization. By mastering this process, companies can achieve the following operational advantages:

- **Avoids Shortages and Surpluses:** It ensures a right-sized workforce at all times, preventing costly overstaffing or the operational bottlenecks caused by understaffing.
- **Enables Proactive Recruitment:** Talent is sourced and secured well before the actual need arises, keeping operations smooth.
- **Reduces Labour Costs:** Proper planning eliminates the need for rushed, expensive hiring and prevents paying for unnecessary surplus labor.
- **Improves Productivity:** Organizational efficiency peaks when the right skills are accurately matched to the appropriate roles.
- **Prepares for Technology Shifts:** It ensures the workforce is ready for rapid automation and technological advancements.

- **Builds Succession and Advantage:** HRP helps in securing a leadership pipeline early, ensuring continuity in key roles.

3. The Step-by-Step HR Planning Process

The HRP framework follows a logical, sequential flowchart. It is important to note that forecasting drives every downstream decision, from recruitment efforts to establishing training budgets.

Flowchart of the HRP Process:

1. **Business Strategy:** Everything begins with the overarching goals of the organization.
2. **Forecast HR Demand:** Predicting how many and what type of employees will be needed.
3. **Forecast HR Supply:** Analyzing the current internal and external workforce availability.
4. **Gap Analysis:** Comparing demand and supply to identify shortages or surpluses.
5. **HR Action Plan:** Formulating strategies to bridge the identified gaps.
6. **Implementation:** Executing the recruitment, training, or restructuring plans.
7. **Monitoring & Evaluation:** Continuously assessing the plan's effectiveness and making adjustments.

4. Methods of HR Planning

Organizations use two broad families of forecasting methods: Qualitative (based on judgment and opinion) and Quantitative (based on statistical and mathematical calculations).

4.1 Qualitative Methods

Qualitative methods rely on human intuition, expert opinions, and situational analysis.

- **Managerial Judgment Method:** Managers estimate future manpower needs based on their experience, current business plans, and market conditions. For example, if a company plans to open 10 new stores and each requires 20 employees, the manager calculates a need for 200 employees. It is simple and good for small firms, but it can be highly subjective and prone to bias.

- **Delphi Technique:** This involves selecting an expert panel that makes anonymous predictions. The results are shared with the group, and the panel revises their estimates until a consensus is reached. This method reduces personal bias, leverages deep expert knowledge, and is highly useful for long-term manpower planning.
- **Nominal Group Technique (NGT):** Unlike the Delphi method, NGT brings experts together in one room. Each person independently writes down their ideas first, followed by an open discussion. Finally, members vote to prioritize manpower needs, making it ideal for strategic decisions requiring team consensus.
- **Scenario Planning:** Planners develop models based on different future situations. For instance, "Scenario 1" might represent rapid economic growth requiring 500 additional employees, while "Scenario 2" anticipates a recession triggering a hiring freeze, and "Scenario 3" looks at AI expansion requiring fewer general workers but more AI specialists.

4.2 Quantitative Methods

Quantitative methods utilize data, metrics, and statistical relationships.

- **Trend Analysis:** Future manpower is estimated using past employment trends. If a company grew from 450 to 500, and then to 550 employees, a steady rise of 50 employees per year can project a future estimate of 600 employees.
- **Ratio Analysis:** This relies on the relationship between business activity and headcount. If 1 salesperson typically serves 100 customers, and expected customer growth is 2,000, the company will require 20 salespersons ($2,000 \div 100$).
- **Workload Analysis:** This method calculates needs based on the total volume of work. If 1 HR Executive can recruit 100 employees per year, and the company plans to hire 500 employees, 5 HR Executives will be needed.
- **Regression Analysis:** This establishes a statistical relationship between employee needs and variables like sales volume, production output, revenue growth, or customer demand.
- **Markov Analysis:** This model tracks internal employee movement by predicting promotions, transfers, resignations, and retirements. It is exceptionally useful for internal succession planning.

- **Simulation Models:** Computer models estimate future workforce needs under varying assumptions, a technique frequently used by airlines, banks, and IT companies.

5. Modern Trends Shaping HR Planning

The HR landscape is rapidly evolving. Today's planners must account for dynamic, modern trends, including:

- **Strategic & Analytical Shifts:** HRP is now directly linked to business strategy. Companies leverage big data and workforce analytics to predict turnover and performance.
- **Artificial Intelligence:** AI is utilized for resume screening, matching candidates, and even predicting employee attrition.
- **New Work Models:** There is a heavy reliance on "Gig Workforce Planning," prioritizing freelancers and contractors over permanent staff. Additionally, remote and hybrid models require HR to plan office space and technology in tandem with headcount.
- **Evolving Hiring Criteria:** "Skills-Based Planning" focuses on hiring for specific skills and certifications rather than traditional college degrees.
- **Holistic Workplace Culture:** Organizations are focusing on "Diversity & Inclusion Planning" to balance gender, ability, age, and culture. "Sustainable HR Planning" is also critical, emphasizing employee well-being, mental health, and work-life balance.
- **Succession Planning:** Identifying future leaders long before actual vacancies occur is a major priority.

6. Approaches to HR Planning

Depending on an organization's structure and culture, they may adopt different planning approaches:

- **Top-Down:** Top management sets the goals, and individual departments implement them.
- **Bottom-Up:** Departments estimate their specific needs, and HR consolidates them into a master plan.

- **Integrated:** A joint planning effort combining both top-down and bottom-up strategies; this is the most widely used approach today.
- **Forecasting Approach:** Strictly relies on demand forecasting, supply forecasting, and gap analysis.
- **Competency-Based:** A modern approach focusing strictly on necessary skills rather than traditional job titles.
- **Strategic:** Viewing HR planning as the primary driver for achieving a competitive advantage in the market.

7. Real-World Applications & Managerial Implications

To bridge theory and practice, let us examine two industry examples:

- **IBM's Predictive Attrition Program:** IBM leverages workforce analytics and Artificial Intelligence to proactively identify employees who are statistically likely to resign. This allows HR to initiate retention strategies and succession actions before the company even suffers a vacancy.
- **Digital Transformation in Banking:** When a traditional bank undergoes a digital transformation, managerial judgment and HRP must pivot. HR must shift its hiring focus away from traditional banking profiles and instead actively recruit data scientists, cybersecurity experts, and AI specialists.